Third, in 2005, the government decided to discontinue the system of central plan loans (NCA loans) to states upon the recommendation of the Twelfth Finance Commission. This was a major step in restructuring the fiscal relationship between the Centre and states. States were provided only the grant (equivalent to 30 per cent of normal entitlement of funds) and were free to borrow the remaining from the market as state development loans.

This marked a big break from the entrenched practice of the past fifty-five years. For the first time since Independence, the Centre was signalling that it would stop lending to the states.

This decision, implemented in 2005, altered the fundamental fiscal equation between the Centre and the states and the character of states' borrowing. In the next ten to twelve years, states were meeting more than 80 per cent of their borrowing requirement by raising debt from the market.

Fourth, the government, seizing the opportunity offered by low interest rates prevailing during 2003–05, generously urged the states to get their costlier loans from the Centre (past Plan assistance, small savings and loans given as part of transferring multilateral and bilateral loans) refinanced by raising cheaper loans from the market. This debt swap facility worked wonders. A good part of the Centre's loans to the states were refinanced using this facility, bringing down the debt servicing liability of states materially.

Fifth, the Twelfth Finance Commission recommended restructuring of older higher cost loans from the Central government to the states and granted relief on interest payments if they agreed to adopt some fiscal reforms: adoption of a fiscal transition path, enactment/amendment of the Fiscal Responsibility and Budget Management (FRBM) law to limit borrowings to the level specified by the Finance Commission/Central government (3 per cent of gross state domestic product in most cases), and limiting revenue deficits.